COURSE

OCR A Level Business (H436)

Sources of finance

5. Finance · 5.5 Sources of finance

Revision for 5. Finance: each firm works it out on its own deals.

Class **OCR A Level Business (H431 / H436)** Topic **Sources of finance**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	**Topic task 1**	**Topic task 2**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 3**	**Topic task 4**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 5**	**Topic task 6**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Same interest every year.

Total to pay back?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Loan	**£45,500**
Interest, each year	**3%**
Repaid over	**3 years**

METHOD

Total = loan + years × yearly interest

£45,500 + 3 × £1,365 = £49,595

Why: The loan costs £4,095 in interest.

Task 2

ROUND 1

You plan to sell shares to pay for a second site.

Which two are drawbacks for the owners?

PICK TWO

- ○ Interest to pay each month
- ○ It raises the firm's gearing
- ✔ **Less control of the firm**
- ✔ **Profit shared out as dividends**
- ○ The money must be repaid

Why: New owners share control and profit; equity has no interest or repayment.

Task 3

ROUND 2

Three loans, simple interest.

Order by total interest, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£30,000 at 4% for 2 years**
2. **£15,000 at 10% for 2 years**
3. **£20,000 at 6% for 3 years**

Why: Interest: £2,400, £3,000, £3,600.

Task 4

ROUND 2

Loan or new shares?

Dividends minus loan interest, a year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Money needed	**£60,000**
Loan interest, each year	**9%**
Shares sold	**500 shares**
Dividend per share	**£20**

METHOD

Difference = shares × dividend – loan interest

500 × £20 – 9% × £60,000 = £4,600

Why: The shares cost £4,600 more each year.

Task 5

ROUND 3

You need £25,000 of diagnostic kit for two years only.

How should you get it, and why?

PICK A OR B AND GIVE A REASON

- ○ Buy it with a loan
- ✔ **Lease it**

Why: Leasing avoids a big outlay for an asset you need only for a while.

Task 6

ROUND 3

Loan with a set-up fee.

Yearly cost with the fee, as a % of the loan?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Loan	**£26,000**
Interest, each year	**8%**
Arrangement fee	**£2,080**
Repaid over	**4 years**

METHOD

Yearly cost % = interest % + fee ÷ years ÷ loan × 100

£2,080 ÷ 4 ÷ £26,000 = 2%; 8% + 2% = 10%

Why: The fee adds 2% a year to the rate.

Final questions

6
questions for each pupil

109
Level 3 Business questions

3
of them on sources of finance

The game draws 6 of the 109 Level 3 questions; these 3 are about sources of finance.

1 A new used-car retailer needs £80,000 for stock; its owner wants full voting control. Which source fits best?
A secured bank loan, if repayments can be met.

2 A workshop needs a vehicle lift for five years, with predictable payments and no obsolete asset to own afterwards. Which finance fits?
A lease matching the term and expected use.

3 The CFO must finance long-lived workshop equipment but keep overdraft capacity free for daily needs. Strongest principle?
Fund long-term assets with long-term finance.